

**Baruch College
CIS 3620**

Pay Later, Spend More:

Klarna and the Hidden Risks of BNPL

Group 5

Gyuhyoun (Evelyn) Kim
Omar Portillo-Carrillo
Riazul Raj
Ryan Reimers

Professor Xiaofeng Liu

May 22, 2026

Table of Contents

1. Introduction	2
2. Klarna Overview	2
3. BNPL Overview	3
3.1 What is BNPL and How It Emerged	
3.2 Who uses BNPL?	
4. Is BNPL Really Consumer-Friendly?	5
4.1 Benefits for consumers	
4.2 Credit score impact and missed payments	
4.3 BNPL vs. credit cards	
5. Consumer Risks and Psychological Effects	6
6. Klarna and Merchant Profitability	7
6.1 Why merchants use Klarna	
6.2 Merchant benefits and costs	
6.3 Klarna's revenue model	
7. Apple Case Study	9
7.1 Klarna Apple Storefront: Pay-in-4 Price Framing	
7.2 Apple Pay Integration: BNPL Inside Checkout	
8. Discussion	10
8.1 Consumer Benefit, Sales Tool, or Soft Credit?	
8.2 Regulatory Outlook and Future Challenges	
9. Conclusion	11
10. Reflection on the Use of AI Tools	12
11. References	13

1. Introduction

Buy Now, Pay Later, or BNPL, has become one of the most common payment options in online shopping. Instead of paying the full price at checkout, consumers can split a purchase into smaller installments, often with no interest if payments are made on time. This model looks simple and convenient, but it also raises important questions about consumer spending, debt, and financial responsibility.

Our team chose Klarna because it is one of the most recognizable companies in the BNPL market. Klarna is not only a payment provider, but also a fintech platform that connects consumers and merchants through checkout systems, shopping apps, and installment payment options. Its slogan, “smoother shopping,” reflects how the company presents BNPL as easy and consumer-friendly. However, this convenience also makes Klarna a useful case for examining the deeper effects of BNPL.

This topic matters because BNPL is no longer limited to occasional large purchases. It is becoming part of everyday shopping behavior, including retail, technology products, and even routine spending. At the same time, merchants benefit from higher conversion rates, larger basket sizes, and reduced checkout hesitation. This creates a tension between consumer convenience and business incentives.

The central question of this report is whether BNPL truly helps consumers or whether it creates hidden financial and psychological risks. While Klarna offers real benefits, such as short-term flexibility and interest-free installment options, its model may also encourage overspending by making purchases feel smaller than they actually are. This report analyzes Klarna’s BNPL model from the consumer, merchant, and behavioral perspectives to evaluate whether BNPL is best understood as a consumer benefit, a sales tool, or a form of soft credit.

2. Klarna as a FinTech Platform

Klarna is a Swedish fintech company best known for its Buy Now, Pay Later services. It allows consumers to shop online or in stores and choose flexible payment options, such as paying now, paying later, or splitting a purchase into installments. In the United States, Klarna promotes Pay

in 4 as an interest-free option when payments are made on time. Unlike traditional credit cards, Klarna is often shown directly inside the shopping or checkout process, which makes it feel like a simple payment choice rather than a separate credit product.

Klarna works as an intermediary between consumers and merchants. For consumers, it offers convenience and makes purchases feel more manageable by breaking the total price into smaller payments. For merchants, Klarna works as a sales and payment tool. Merchants can receive payment upfront, while Klarna manages the consumer repayment process and credit or fraud risk. This helps explain why retailers are willing to offer BNPL even when they pay fees for the service.

Overall, Klarna fits into the fintech ecosystem because it combines digital payments, consumer credit, online shopping, and merchant services. Its model shows both sides of fintech innovation: it creates convenience for consumers, but it also raises questions about debt, spending behavior, and the role of payment design in online shopping.

3. The Rise of BNPL

3.1 What is BNPL and How It Emerged

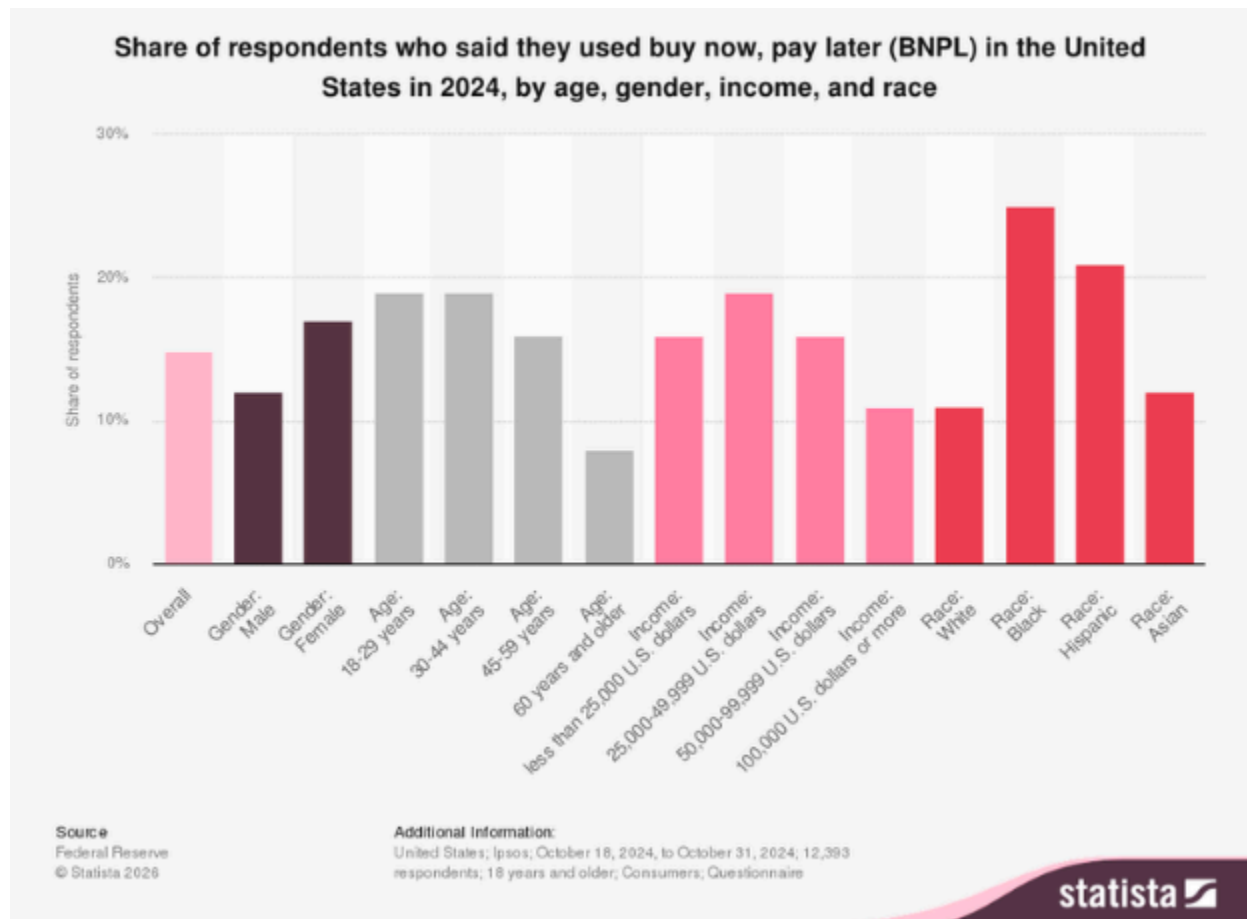
Buy Now, Pay Later, or BNPL, is a short-term payment model that allows consumers to buy a product immediately and pay for it over time. A common structure is “pay in four,” where one purchase is divided into four equal payments. For example, a \$100 purchase can appear as four \$25 payments instead of one full payment at checkout.

BNPL became popular because it offered a simple alternative to credit cards and traditional installment plans. Many BNPL services are presented as fixed, short-term, and interest-free if payments are made on time. This made BNPL especially attractive in online shopping, where consumers make fast purchase decisions and payment options appear directly at checkout. As e-commerce and digital wallets became more common, BNPL became easier to use and more visible to shoppers.

Overall, BNPL grew because it combines flexible credit with digital checkout design. It does not only change when consumers pay. It also changes how consumers see the price at the moment of purchase.

3.2 Who Uses BNPL?

BNPL users are not limited to one income group. The Federal Reserve reported that 15% of adults used BNPL in 2024, and use appeared across different income levels. For example, BNPL was used by 16% of adults earning \$50,000 to \$99,999 and 11% of adults earning \$100,000 or more. However, use was still more common among younger adults and some low- or middle-income groups.



Source: Statista; Federal Reserve SHED 2024, p. 41.

This suggests that BNPL is used for different reasons. Some consumers use it because they need short-term affordability, while others use it for convenience or to avoid paying the full amount at once. The Federal Reserve notes that many financially stable consumers use BNPL to spread out

payments, while financially vulnerable consumers may depend on it because it is the only way they can afford a purchase.

For this reason, BNPL should not be seen only as a product for financially distressed consumers. Its user base includes both lower-income consumers who may rely on it for affordability and middle- or higher-income consumers who use it as a convenient payment tool.

4. Is BNPL Really Consumer-Friendly?

4.1 Benefits for Consumers

BNPL can be consumer-friendly in some situations because it gives shoppers more flexibility at checkout. Instead of paying the full amount immediately, consumers can divide the cost into smaller payments. This can be helpful when the payments are interest-free and the consumer already has a clear plan to repay on time. Compared with a traditional credit card balance, a short-term BNPL plan may feel simpler because the repayment schedule is fixed and the purchase is separated into equal installments.

Klarna's Pay in 4 model also makes the checkout process fast and easy. Consumers can receive approval quickly and complete the purchase without applying for a traditional loan. For some users, BNPL works as a short-term budgeting tool, especially when they want to avoid paying the full price at once. However, this benefit depends heavily on responsible use. BNPL is helpful only if the consumer understands the full cost and can make every payment on time.

4.2 Credit Score Impact and Missed Payments

The credit score impact of BNPL is more complicated than it may first appear. Klarna says that its soft credit checks do not affect a consumer's credit score and are not visible to other lenders. This can make Pay in 4 feel less serious than a traditional credit product. However, Klarna also warns that late or failed payments may still have consequences.

Missed payments are a major concern because BNPL users are increasingly reporting repayment difficulties. The Federal Reserve reported that nearly one-fourth of BNPL users were late making a payment in 2024. In addition, FICO announced new credit scoring models that incorporate

BNPL data, which means BNPL repayment behavior may become more visible in credit evaluation. For consumers, this means BNPL should not be treated as “free money.” Even if it begins as a small installment plan, missed payments can create fees, collection issues, and possible long-term credit risk.

4.3 BNPL vs. Credit Cards

BNPL and credit cards both allow consumers to buy now and pay later, but they work differently. Credit cards usually provide revolving credit, meaning consumers can carry a balance from month to month and pay interest. BNPL is usually structured as a fixed short-term repayment plan, often with no interest if payments are made on time. This makes BNPL look simpler and more predictable than credit cards.

However, credit cards may offer clearer statements, stronger rewards, and established consumer protections. BNPL can be harder to track because each purchase may become a separate payment plan with its own due dates. The CFPB has also treated BNPL loans accessed through digital accounts as credit card-like products for some dispute and refund protections, which shows that regulators see BNPL as more than a simple payment feature.

Overall, BNPL can be useful for consumers who use it carefully, but it is not risk-free. Its main advantage is convenience, but that same convenience can make spending feel less serious. This is why BNPL should be understood as a form of short-term credit, not just a checkout feature.

5. Consumer Risks and Psychological Effects

One of the main psychological risks of BNPL is the mental accounting effect. Mental accounting means that consumers often separate money into different “accounts” in their minds instead of looking at the full financial picture. In BNPL, this happens when a consumer sees a \$100 purchase as “only \$25 today” rather than one \$100 expense. The total cost does not change, but the way the price is presented changes how serious the purchase feels. This connects to Richard Thaler’s behavioral economics work, which shows that people do not always make financial decisions in a fully rational way.

This effect also reduces the “pain of paying.” Paying the full amount immediately can make consumers pause and think about whether the purchase is necessary. BNPL weakens that pause because the first payment looks smaller and easier to manage. As a result, consumers may focus on the installment amount instead of the total price. This can encourage impulse buying, especially when BNPL is shown directly at checkout before the purchase decision is finalized.

The risk becomes larger when consumers use BNPL multiple times at once. Each payment plan may look small by itself, but several plans can overlap across different due dates. The CFPB found that about 63% of BNPL borrowers had multiple simultaneous BNPL loans at some point in 2021 and 2022. This means BNPL debt can become harder to track because the consumer is not always looking at one clear monthly balance, like with a credit card statement.

BNPL is also moving into everyday consumption. It is no longer used only for expensive or occasional purchases. The CFPB reported that BNPL use for everyday or necessity purchases such as gas, groceries, and utilities increased from \$3.3 million in 2019 to \$229.2 million in 2021. This trend matters because it shows that installment debt can become part of ordinary spending habits. When consumers use BNPL for routine purchases, the line between budgeting and borrowing becomes less clear.

Overall, BNPL’s biggest psychological effect is not that it lowers prices, but that it changes how consumers experience prices. By breaking purchases into smaller payments, BNPL can make spending feel less painful, less risky, and easier to justify. This is why BNPL should be analyzed not only as a payment method, but also as a form of payment design that can influence consumer behavior.

6. Klarna, Merchants, and Profitability

6.1 Why Merchants Use Klarna

Merchants partner with Klarna because BNPL can make checkout feel easier for customers. When consumers see a high price divided into smaller payments, they may feel less hesitation about completing the purchase. This can help merchants reduce cart abandonment, increase conversion, and encourage larger basket sizes. Klarna also promotes its on-site messaging tools

as a way to show flexible payment options near the product price or cart total, which can increase average order value and support conversion.

From the merchant's perspective, Klarna is not only a payment method. It is also a sales tool. A customer who might hesitate to pay the full price upfront may be more willing to buy when the cost is shown as smaller installments. This is especially important in online shopping, where small changes in checkout design can affect whether consumers complete or abandon a purchase.

6.2 Merchant Benefits and Costs

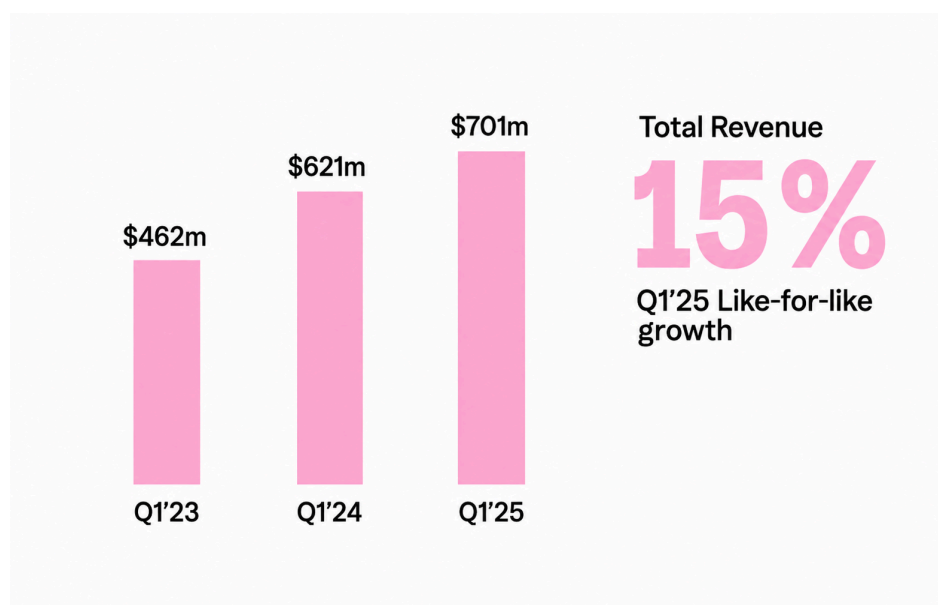
The main benefit for merchants is that Klarna reduces payment friction while allowing them to receive payment upfront. Klarna states that merchants get paid upfront and in full with Klarna payment options, while Klarna assumes credit and fraud risk. This makes Klarna attractive because merchants do not have to wait for the consumer to finish all installment payments.

However, these benefits come with costs. Merchants usually pay fees to offer BNPL, which means they must decide whether the increase in sales is worth the cost of using Klarna. In this sense, Klarna creates a trade-off: merchants may gain more completed purchases and customer loyalty, but they also pay for the service. This helps explain why BNPL is most valuable to merchants when it increases conversion or encourages customers to spend more.

6.3 Klarna's Revenue Model

Klarna's revenue model is built on volume. The more transactions that flow through its platform, the more the company earns. In its SEC filing, Klarna breaks its revenue into two main categories: transaction and service revenue, and interest income. In 2024, Klarna reported \$2.136 billion in transaction and service revenue and \$675 million in interest income. But the fuller financial picture shows how much the business has grown in a short period of time. Klarna's total annual revenue for 2024 was \$2.811 billion, a 23.51% increase from 2023, and grew further to \$3.509 billion in 2025, a 24.83% year-over-year increase. After years of operating losses, Klarna posted its first annual net profit in 2024, recording \$21 million in profit. U.S. revenue reached approximately \$850 million in 2024, up 39% year-over-year, making the United States Klarna's largest and fastest-growing market.

These numbers reflect a business model that is gaining momentum precisely because BNPL is becoming more normal. Consumer credit losses rose to approximately \$495 million in 2024, which represents roughly 17.6% of total revenue, a reminder that the model carries real financial risk even as it scales. The more merchants adopt Klarna, the more consumers encounter it at checkout, the more transactions get completed, and the more revenue Klarna generates. Its profitability is therefore closely tied to checkout visibility and consumer spending behavior. The commercial incentives run in one direction: toward more purchases, larger cart sizes, and wider adoption of installment payment as a default option.



Source: Klarna, Q1 2025 Financial Results, company website.

7. Case Study: Apple and BNPL Visibility

7.1 Klarna Apple Storefront: Pay-in-4 Price Framing

The Klarna Apple storefront is a clear example of how BNPL reframes the price of a high-cost product. An iPhone 17 Pro Max listed at \$1,199.00 is presented alongside four interest-free payments of \$299.75. The total cost does not change, but \$299.75 registers very differently from \$1,199.00. This is price framing in its most direct form, and it operates on one of the most recognizable consumer products in the world.

The broader context makes this more significant. Apple Pay is estimated to have over 638 million users globally in 2024, with approximately 51.5 million in the United States alone, and holds a 92% share of the global mobile payment market (GrabOn). That is the installed base through which Klarna gains visibility when it appears inside Apple Pay's checkout flow. Apple

Pay processed an estimated \$8.5 trillion in payments in 2024, making the checkout environment one of the most high-traffic payment touchpoints in the world (Capital One Shopping). When Klarna surfaces as an option inside that environment, it is not competing for attention. It is being offered to consumers who are already mid-transaction, in a platform they already trust.

This matters because the placement of BNPL within a familiar, trusted checkout flow changes how it is perceived. A consumer who encounters Klarna through Apple Pay does not have to seek out financing. It is simply there, alongside their usual cards, at the moment they are ready to pay. That kind of integration normalizes installment credit in a way that a standalone application never could.

7.2 Apple Pay Integration: BNPL Inside Checkout

Apple Pay shows a different type of BNPL visibility. In this case, Klarna is not acting as a storefront. Instead, it appears as a payment option inside Apple Pay's checkout flow. Apple explains that users can access pay-later options such as Klarna through "Other Cards & Pay Later Options" when checking out with Apple Pay on iPhone or iPad. This means BNPL can appear inside a payment environment that many consumers already know and trust.

This matters because the placement of payment options can influence consumer attention. If Klarna appears during checkout, consumers do not have to actively search for financing. They encounter BNPL at the moment when they are already close to completing the purchase. In that sense, BNPL can function like a subtle form of advertising inside the payment process. It makes installment payments feel like a normal checkout choice, not a separate borrowing decision.

8. Discussion

8.1 Consumer Benefit, Sales Tool, or Soft Credit?

BNPL is not only one thing. It can be a consumer benefit because it gives shoppers short-term flexibility and often interest-free payments. However, it is also a form of credit because consumers receive the product before fully paying for it. This means BNPL should not be treated as completely risk-free, especially when payments are missed or multiple payment plans overlap.

From the merchant side, BNPL is more clearly a sales tool. Klarna helps merchants reduce checkout hesitation, increase conversion, and encourage larger basket sizes. Consumers see

smaller payments, but merchants benefit when more purchases are completed. Overall, BNPL is best understood as a mix of consumer benefit, merchant sales tool, and soft credit. The main concern is that the benefit is visible immediately at checkout, while the risks appear later.

8.2 Regulatory Outlook and Future Challenges

Regulation will likely become more important as BNPL keeps growing. In the U.S., the CFPB has focused on whether BNPL users should receive credit-card-like protections for disputes, refunds, and billing issues. In Europe, the revised Consumer Credit Directive also expands consumer-credit rules in ways that can affect BNPL providers.

For Klarna, this creates both a challenge and an opportunity. Stricter rules could increase compliance costs and make BNPL less frictionless at checkout. At the same time, clearer standards could help consumers trust BNPL more. This means Klarna's future growth may depend not only on merchant adoption, but also on whether it can adapt to stronger disclosure and consumer protection requirements.

9. Conclusion

BNPL can be helpful for consumers because it provides short-term flexibility and makes purchases easier to manage. Klarna's Pay in 4 model is especially appealing because it allows consumers to split payments into smaller amounts, often without interest if they pay on time. However, this report shows that BNPL is not only a consumer benefit. It also functions as a sales tool for merchants by reducing checkout hesitation, increasing completed purchases, and making prices feel more manageable.

Overall, BNPL is useful when consumers understand the full cost and repayment schedule, but it can become risky when multiple payment plans overlap, payments are missed, or BNPL is used for everyday spending. For this reason, BNPL should be understood as a form of short-term credit, not just a simple payment option. As fintech becomes more embedded in daily shopping, companies like Klarna need to balance convenience with clearer transparency. Klarna promotes "smoother shopping," but this report suggests that the convenience is not equally beneficial for consumers, merchants, and Klarna.

10. Reflection on the Use of AI Tools

For this project, I used AI tools mainly to organize our ideas and shape the overall direction of the report. Since Klarna and BNPL can be analyzed from many angles, AI helped us break the topic into clearer sections, such as consumer benefits, credit risk, psychological effects, merchant incentives, and regulation. This helped us move beyond a basic company overview and focus on the deeper question of whether BNPL truly helps consumers or also encourages spending through checkout design.

AI was also helpful for identifying what types of sources and data would support each section. For example, we used it to think about where to find evidence on BNPL user demographics, late payments, everyday spending, Klarna's business model, and Apple Pay integration. However, we did not rely on AI as the final source. After receiving suggestions, we checked the actual reports, articles, and official websites ourselves to make sure the claims were accurate and supported. The most useful part of using AI was that it helped us see the hidden strategy behind BNPL. Instead of only explaining Klarna's services, we were able to analyze how Pay in 4 changes the way consumers perceive prices, reduces the pain of paying, and benefits merchants by reducing checkout hesitation. At the same time, this project reminded me that AI still requires careful judgment. Some suggestions sounded convincing but needed revision or fact-checking. Going forward, I will use AI as a tool for planning, organizing, and improving ideas, but I will continue to verify information and make sure the final argument reflects my own understanding.

11. References

Apple. (2024, October). Apple celebrates 10 years of Apple Pay. Apple Newsroom.
<https://www.apple.com/newsroom/2024/10/apple-celebrates-10-years-of-apple-pay/>

Batdorf, E. (2025, December 19). Pros and cons of buy now, pay later. Experian.
<https://www.experian.com/blogs/ask-experian/pros-cons-of-buy-now-pay-later/>

Basil, A. K., & Biswas, P. (2025, September 10). Klarna valued at nearly \$20 billion as shares jump in NYSE debut. Reuters.
<https://www.reuters.com/business/finance/klarna-valued-nearly-20-billion-shares-jump-nyse-debut-2025-09-10/>

Business Wire. (2025, February 27). More consumers using buy now, pay later, J.D. Power finds.
<https://www.businesswire.com/news/home/20250227435262/en/More-Consumers-Using-Buy-Now-Pay-Later-J.D.-Power-Finds>

Consumer Financial Protection Bureau. (n.d.). What is a buy now, pay later (BNPL) loan? Retrieved May 10, 2026, from
<https://www.consumerfinance.gov/ask-cfpb/what-is-a-buy-now-pay-later-bnpl-loan-en-2119/>

Consumer Financial Protection Bureau. (2022, September). Buy now, pay later: Market trends and consumer impacts.
https://files.consumerfinance.gov/f/documents/cfpb_buy-now-pay-later-market-trends-consumer-impacts_report_2022-09.pdf

Federal Reserve. (2025, May 28). Share of respondents who said they used buy now, pay later (BNPL) in the United States in 2024, by age, gender, income, and race [Graph]. In Statista. Retrieved May 10, 2026, from
<https://www.statista.com/statistics/1421852/bnpl-user-demographics-usa/>

Federal Reserve Bank of Boston. (2024). Buy now, pay later: Who uses it and why.
<https://www.bostonfed.org/publications/current-policy-perspectives/2024/buy-now-pay-later-who-uses-it-why.aspx>

Harvard Business Review. (2024, November). Research: How "buy now, pay later" is changing consumer spending.
<https://hbr.org/2024/11/research-how-buy-now-pay-later-is-changing-consumer-spending>

Hermann, J., & Gupta, A. (2023, May 18). How Klarna grows: Building the shopping destination of the future. How They Grow.
<https://www.howtheygrow.co/p/how-klarna-grows-building-the-shopping>

Klarna. (n.d.-a). Klarna. Retrieved May 10, 2026, from <https://www.klarna.com/us/>

Klarna. (n.d.-b). iPhone 17 Pro Max. Klarna Store. Retrieved May 10, 2026, from <https://store.klarna.com/us/applefromklarna/p/iphone-17-pro-max/cosmic-orange-256gb/>

Klarna. (n.d.-c). Understand Klarna. Klarna Group plc. Retrieved May 10, 2026, from <https://investors.klarna.com/understand-klarna/default.aspx>

Klarna Group plc. (2025, March 14). Form F-1 registration statement. U.S. Securities and Exchange Commission.
<https://www.sec.gov/Archives/edgar/data/2003292/000162828025012824/klarnagroupplcf-1.htm>

LendingTree. (2026, April 13). Nearly half of BNPL users have paid late in the past year, up for a second straight year. <https://www.lendingtree.com/personal/buy-now-pay-later-loan-statistics/>

Shevlin, R. (2022, April 10). Breakout: Apple's plan to pump up Apple Card and Apple Pay and win the payments war. Forbes.
<https://www.forbes.com/sites/ronshevlin/2022/04/10/breakout-apples-plan-to-pump-up-apple-card-and-apple-pay-and-win-the-payments-war/>

Statista & Worldpay. (2026, March 27). Global transaction value of buy now, pay later (BNPL) in e-commerce from 2014 to 2025, with a forecast for 2030 (in billion U.S. dollars) [Graph]. In Statista. Retrieved May 10, 2026, from <https://www.statista.com/statistics/1311122/global-bnpl-market-value-forecast/>

GrabOn. (2025, July 21). Apple Pay usage statistics in 2024. GrabOn Blog.
<https://grabon.com/blog/apple-pay-statistics/>

Capital One Shopping Research. (2026, January 28). Apple Pay statistics (2026): Users, market share & growth rate. Capital One Shopping.
<https://capitaloneshopping.com/research/apple-pay-statistics/>